

GLOBAL INVESTMENT SOCIETY

Investment Research Division

lululemon athletica inc.

NASDAQ: LULU

Recommendation: OVERWEIGHT / LONG

Current price: \$100.00 Price target: \$140 (+40% upside)

A net-cash, high-margin brand priced for terminal decline. We see a cyclical trough, not a broken business

September 2026 Prepared for the GIS IR selection process

- 1. Financial roadmap (table of contents)**
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- First we analyze the recent cyclical selloff to ~\$100 and why this price action demands a market re-evaluation.
- Next we dissect the NOPAT bridge and revenue drivers to expose durable cash flows hidden beneath headline noise.
- Then we evaluate our mathematically sound ~9% WACC and DCF scenarios, which justify our overweight thesis.
- Finally we review our football-field valuation and comparable analysis, implying a substantial margin of safety for investors.

Links & Sources

- **[1] TIKR LULU Stock Crashed 17%**
<https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- **[2] Lululemon Q2 FY2026 Financial Supplement**
<https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- **[3] GIS valuation model**
[LULU_DCF_Valuation_Model.xlsx](#)

Why this opportunity exists and the historical financial context driving the current setup

- The recent guidance cut triggered a massive cyclical panic, pushing Lululemon down to roughly \$100 [1].
- Despite historically compounding double-digit growth, the market capitulated over a guidance cut of 5% to 7% [2].
- Lululemon still retains durable cash flows with clean run-rate operating margins of 13.2% [3].

Links & Sources

- **[1] TIKR LULU Stock Crashed 17%**
<https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- **[2] Lululemon Q2 FY2026 Guidance / Supplement**
<https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- **[3] GIS valuation model**
[LULU_DCF_Valuation_Model.xlsx](#)

Current market sentiment and what analysts are saying about the recent guidance cut

- Morgan Stanley issued a highly pessimistic forecast after management cut FY2026 revenue guidance to ~\$10.35B [1].
- Analysts are paralyzed by cyclical fears; consensus price targets were slashed from ~\$176 to ~\$136 [2].
- Firms like BTIG maintain neutral ratings due to short-term turbulence but underweight the durable competitive advantage we see [3].

Links & Sources

- **[1] Morgan Stanley pessimistic forecast (MarketBeat)**
<https://www.marketbeat.com/instant-alerts/analyst-morgan-stanley-issues-pessimistic-forecast-for-lululemon-athletica-nasdaq-lulu-stock-price-2026-09-04/>
- **[2] Simply Wall St LULU stock analysis**
<https://simplywall.st/stocks/us/consumer-durables/nasdaq-lulu/lululemon-athletica>
- **[3] BTIG neutral reiteration (GuruFocus)**
<https://www.gurufocus.com/news/9068272/lulu-reiterates-by-btig-rating-maintained-at-neutral>

Base-case DCF \$134 (34.0% upside) and three pillars supporting our overweight recommendation

BASE CASE DCF

\$134

+34.0% vs \$100

12-MONTH TARGET

\$140

OVERWEIGHT

WACC (base case)

9.0%

Bounds 2.3% LT revenue growth

- Our discounted cash flow valuation generates a base-case implied share price of \$134.00, representing 34.0% upside from current levels [1].
- Profitability: adjusting out tariff refunds reveals LULU still maintains a highly resilient 13.2% clean run-rate operating margin [2].
- Our 9.0% WACC strictly bounds our 2.3% long-term revenue growth assumption in the model [3].
- International expansion remains the crucial growth engine; China Mainland growth offsets temporary North American stagnation [4].

Links & Sources

- [1] GIS valuation model (base-case implied value)
[LULU_DCF_Valuation_Model.xlsx](#)
- [2] Lululemon Q2 FY2026 supplement (13.2% margin calc)
<https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] GIS valuation model (WACC & revenue drivers)
[LULU_DCF_Valuation_Model.xlsx](#)
- [4] Lululemon Q2 FY2026 supplement (international growth)
[Source company SEC filings \(Form 10-K, CIK 0001397187\) https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf](#)

Why China growth offsets temporary US declines in the revenue mix

- Lululemon generated \$11.1B in total revenue; Americas contributed \$7.85B, or 70.7% of sales [1].
- Americas comparable sales fell 3% due to temporary cyclical macro pressure rather than structural brand degradation [2].
- China Mainland surged 20% to \$1.75B, proving high-growth international expansion can offset US temporary weakness [3].

Links & Sources

- **[1] Lululemon FY2025 segment revenue (10-K / supplement)**
<https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- **[2] Americas comparable sales (10-K)**
<https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- **[3] GIS valuation model (China Mainland growth)**
[LULU_DCF_Valuation_Model.xlsx](#)

Unit economics and competitive moats that protect long-term market leadership

- Lululemon sustains a 56.6% gross margin, providing a massive competitive moat against retail price competition [1].
- E-commerce unit economics remain elite, with direct-to-consumer EBIT margins hitting 23.6% without retail occupancy drag [2].
- Company-operated stores generate \$1,426 per square foot and an 18.6% EBIT margin, establishing high capital efficiency [3].

Links & Sources

- **[1] GIS valuation model (gross margin)**
[LULU_DCF_Valuation_Model.xlsx](#)
- **[2] GIS valuation model (e-commerce EBIT margin)**
[LULU_DCF_Valuation_Model.xlsx](#)
- **[3] GIS valuation model (store EBIT margin & SPSF)**
[LULU_DCF_Valuation_Model.xlsx](#)

Athleisure industry trends including market fragmentation and barriers to entry

- The global athleisure market remains highly fragmented; most players lack a durable competitive advantage [1].
- The premium segment maintains high barriers to entry, protecting global champions from temporary cyclical noise [2].
- Lululemon proves its moat by generating ~30% ROE, far outpacing the ~7% industry median [3].

Links & Sources

- **[1] Market.us athleisure industry statistics**
<https://media.market.us/athleisure-industry-statistics/>
- **[2] Fortune Business Insights premium athleisure trends**
<https://www.fortunebusinessinsights.com/athleisure-market-110642>
- **[3] FinanceCharts LULU ROE vs retail median**
<https://www.financecharts.com/stocks/LULU/growth/roe>

Capital efficiency metrics comparing Lululemon gross margin to legacy apparel peers

- Lululemon commands a 56.6% gross margin, far exceeding traditional athletic apparel peers like Nike and Under Armour [1].
- Nike struggles to maintain ~43% margin while Under Armour hovers around ~46%, reflecting wholesale dependence [2].
- Lululemon's direct-to-consumer scale prevents structural margin compression and forms an economic moat against industry price wars [3].

Links & Sources

- **[1] GIS valuation model (gross margin assumptions)**
[LULU_DCF_Valuation_Model.xlsx](#)
- **[2] Investing.com Nike gross margin explorer**
https://www.investing.com/pro/NYSE:NKE/explorer/gp_margin
- **[3] ProAnalyst LULU market report**
<https://lulu.proanalyst.ai/business>

Numerical evidence supporting intrinsic value at trough multiples

The 2026 price drop exceeding 50% has left Lululemon critically undervalued despite durable cash flows

- Premium direct-to-consumer revenue mix protects a ~55% adjusted gross margin, supporting our intrinsic valuation thesis [2].
- Long-term lease obligations of ~\$1.8B against \$8.5B+ in total assets provide strategic flexibility alongside net-cash funded debt [3].
- At ~\$100 the stock trades at ~3.5x EV/EBITDA vs a 5-year history of ~20–30x earnings [1].

VALUATION SNAPSHOT

EV / EBITDA: ~3.5x

FY2026E P/E: ~10.4x

DCF base: \$134

Bear case: \$56

Links & Sources

- **[1] Everything Money / Burry LULU commentary**
<https://everythingmoney.com/blog/lululemon-is-collapsing-burry-s-biggest-bet-4334>
- **[2] Lululemon Q2 FY2026 earnings release**
<https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- **[3] GuruFocus long-term debt & lease obligations**
<https://www.gurufocus.com/term/long-term-debt-and-capital-lease-obligation/LULU>

How modest margin recovery from peak COVID levels still drives compelling valuation

Peak FY2024 EBIT margin reached 23.7%; our model assumes a permanent reset, not a full recovery

- Historical pandemic-era peak EBIT margins reached 23.7% in FY2024, showing prior peak earnings power [1].
- Our model conservatively assumes margins reset to a 13.2% run-rate trough in FY2026 [2].
- A modest partial recovery to 15.5% EBIT margin by FY2030 still yields \$134.00 per share [3].
- Returning to peak COVID profitability is unnecessary to unlock substantial market upside [4].

MARGIN PATH (model)

FY2024 peak OM: 23.7%

FY2026E trough: 13.2%

FY2030E terminal: 15.5%

Base-case px: \$134

Links & Sources

- [1] FY2024 10-K (SEC) / GIS model

<https://www.sec.gov/ix?doc=/Archives/edgar/data/0001397187/000139718724000013/lulu-20240128.htm>

- [2] GIS model clean run-rate EBIT assumptions

[LULU_DCF_Valuation_Model.xlsx](#)

- [3] GIS model base-case DCF summary

[LULU_DCF_Valuation_Model.xlsx](#)

- [4] GIS model DCF valuation summary

Source: Company SEC Filings (Form 10-K, CIK 0001397187)

How top-line projections rely on Chinese expansion to offset North American stagnation

Americas contraction vs China acceleration is the central revenue tension in our model

- Americas faces near-term contraction with negative comps in FY2026, flatlining toward ~2% terminal growth by FY2030 [1].
- Model projections rely on FY2026 store openings skewing to China (+20) vs Americas (+8), plus aggressive China comp growth [2].
- If the Chinese consumer softens, the model's core top-line projections will break [3].

GEO REVENUE MIX

Americas: ~71% FY25

China: +20% FY25

FY26 store adds: CN > US

Key risk: China decel

Links & Sources

- [1] GIS model Americas FY26–FY30 comp assumptions
[LULU_DCF_Valuation_Model.xlsx](#)
- [2] GIS model FY26 store openings & China revenue build
[LULU_DCF_Valuation_Model.xlsx](#)
- [3] GIS model revenue drivers schedule
[LULU_DCF_Valuation_Model.xlsx](#)

Core downside risks and how buybacks compound EPS to support recovery

Risk → Mitigant

China deceleration risks a \$56 bear floor

Cumulative cash per share and net-cash balance recover a large portion of entry price even in bear case [1]

CapEx and inventory normalization

Lower CapEx and e-commerce's 23.6% EBIT margin plus working-capital releases support FCF [2]

Share repurchases compound EPS

Deploying majority of UFCF into buybacks retires shares and supports EPS accretion toward \$134 fair value [3]

Links & Sources

- [1] GIS bear-case DCF / Barron's guidance cut
<https://www.barrons.com/articles/lululemon-stock-earnings-guidance-a7a7c5c0>
- [2] GIS CapEx & e-commerce EBIT assumptions / Q2 release
<https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] GIS share repurchase & EPS accretion schedule
[LULU_DCF_Valuation_Model.xlsx](#)

2026 (Q3 FY2026 Trough)	Q3 FY2026 revenue laps guidance trough while China Double 11 sales confirm holiday store traffic floor stabilization across key markets [1]
2027 (FY2026 Year-End)	First full-year reset absorbs steep prior declines while \$134.5M tariff refunds and targeted SG&A cost actions protect earnings per share [2]
2027 (FY2027 Margin Inflection)	Operating margins expand to 13.8% (+60 bps) as promotional headwinds anniversary, while 75% UFCF buybacks compound EPS to boost sentiment [3]
2028 (FY2027–FY2028 Multiple Re-Rating)	Accelerating international store scaling (+12% China comps) offsets Americas softness (-4%), driving overall revenue recovery and valuation re-rating toward \$133.64 [4]

• [1] LULU DCF Valuation Model.xlsx, Scenarios & Revenue Drivers
<https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>

• [2] LULU DCF Valuation Model.xlsx, NOPAT Bridge & Scenarios
<https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>

• [3] LULU DCF Valuation Model.xlsx, Scenarios & Unlevered Free Cash Flow Schedule
<https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>

• [4] LULU DCF Valuation Model.xlsx, Revenue Drivers & DCF Valuation Summary
<https://stockanalysis.com/stocks/lulu/forecast/>

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Net revenue: FY22 \$8,111M → FY25 \$11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 \$6.68 → FY25 \$13.26

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 \$9776.90 → FY30 \$11279.95

US\$ M	22	23	24	25	26	27	28	29	30
Net revenue	8,111	9,619	10,588	11,103	10,425	10,665	10,910	11,161	11,418
Gross profit	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
Operating income	1,328	2,133	2,506	2,211	1,511	1,469	1,566	1,666	1,770
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
Net income	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
Diluted EPS (\$)	6.68	12.20	14.64	13.26	9776.90	9484.51	10059.72	10657.96	11279.95
Line item	Hist source (22–25)			Fcst source, Scenarios col G					
Net revenue	10-K IS, Net revenue			Scenarios!G25:G29 (Revenue yr 1–5)					
Gross profit	10-K IS, Gross profit			Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)					
Operating income	10-K IS, Operating income			Scenarios!G45:G49 (EBIT yr 1–5)					
Operating margin %	10-K IS, OI ÷ revenue			Scenarios!G45:G49 ÷ Scenarios!G25:G29					
Net income	10-K IS, Net income			Scenarios!G143:G147 (pitch bridge NI)					
Diluted EPS	10-K IS, Diluted EPS			Scenarios!G183:G187 (pitch bridge EPS)					

Net-cash history vs base-case funded growth: FY26–30 (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: \$0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: \$0 (no term debt in model)

US\$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents	1,155	2,244	1,984	1,807	2,393	2,825	3,317	3,874	4,497
Inventories	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
Total assets	5,607	7,092	7,603	8,457	7,941	8,124	8,310	8,502	8,697
Total liabilities	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
Total equity	3,149	4,232	4,324	4,962	4,659	4,766	4,876	4,988	5,103
Funded debt	0	0	0	0	0	0	0	0	0
Line item	Hist source (22–25)				Fcst source, Scenarios col G				
Cash & equivalents	10-K BS, Cash & equivalents				Scenarios!G163:G167 (pitch bridge cash roll-forward)				
Inventories	10-K BS, Inventories				Scenarios!G80:G84 (NWC schedule)				
Total assets	10-K BS, Total assets				Scenarios!G168:G172 (FY25 TA × rev growth)				
Total liabilities	10-K BS, Total liabilities				Scenarios!G173:G177 (FY25 TL × rev growth)				
Total equity	10-K BS, Total equity				Scenarios!G178:G182 (FY25 TE × rev growth)				
Funded debt	10-K BS, Long-term debt (\$0)				Model assumption, \$0 (no term debt)				

BS forecast: Scenarios pitch bridge (cash waterfall + FY25 BS × revenue growth), col G. Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Operating FCF (DCF input) vs financing: historical 10-K vs base case (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

US\$ M	22	23	24	25	26	27	28	29	30
Cash from operations	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
D&A (add-back)	292	379	447	496	469	480	491	502	514
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
Free cash flow	328	1,644	1,583	922	1,087	931	993	1,056	1,123
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)	(500)	(500)

Line item	Hist source (22–25)	Fcst source, Scenarios col G
Cash from operations	10-K CF, Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF, Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1–5)
Capital expenditures	10-K CF, Capital expenditures	Scenarios!G60:G64 (Capex yr 1–5)
Free cash flow	10-K CF, CFO – capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF, Repurchases (financing)	Scenarios!G158:G162 (G21=\$500M/yr fixed)

Cap stack and WACC build: lease-adjusted; no funded term debt

CAPITAL STACK (US\$ M)

Component	US\$ M	WACC weight
Market equity (price × shares)	11,138	86.1%
ASC 842 operating lease liabilities	1,798	13.9%
Funded debt (term loans / bonds)	0	0.0%
Total capital (WACC basis)	12,936	100.0%

EV BRIDGE (NOT IN WACC WEIGHTS)

Component	US\$ M	Note
Cash & equivalents	1,807	Added back in EV → equity bridge
Net debt (leases – cash)	-9	Near net-cash; leases in WACC above

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash \$1,807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

Input	Value
Risk-free rate (10-yr UST)	4.80%
Equity risk premium	6.00%
Tax rate	30.00%
Beta (relevered; lease adj.)	0.84
Cost of equity (CAPM)	9.86%
Pre-tax Kd (lease-equivalent)	5.00%
After-tax Kd	3.50%
Equity / debt weight	86.1% / 13.9%

β : Yahoo β L 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

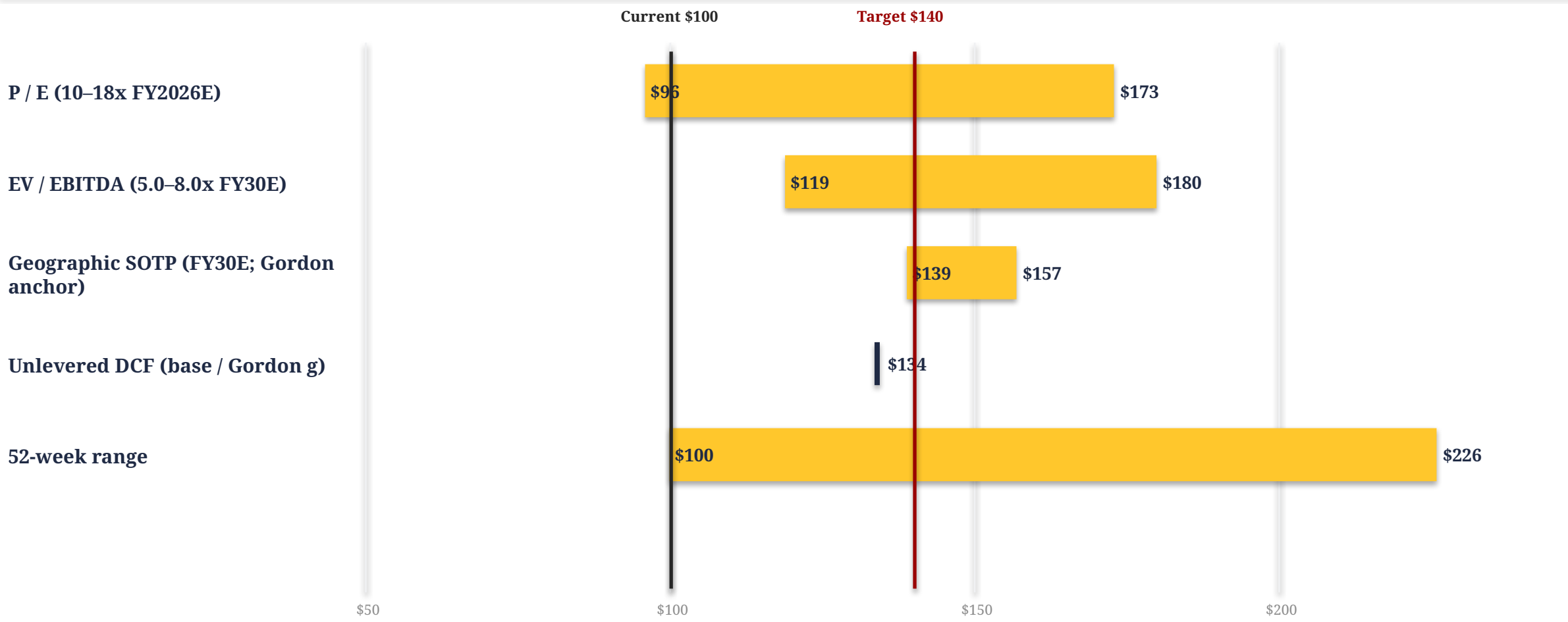
WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price \$134

MODEL SOURCE MAP

Line item	DCF model source (WACC tab, col E)
Market equity	WACC!E10
ASC 842 operating leases	WACC!E11 (FY25 10-K)
Funded debt	WACC!E13
Total capital	WACC!E14
Cash & equivalents	10-K BS, Cash
Net debt	DCF EV bridge
Risk-free rate	WACC!E3
Equity risk premium	WACC!E4
Tax rate	WACC!E5

Football field: implied share-price ranges by methodology (base case DCF)



12-month target \$140 sits above base-case DCF \$134 and inside the comps/SOTP ranges: a partial re-rating, not a return to peak multiples.
DCF row = Scenarios col G (Gordon growth). Bear \$56 / bull \$202 bracket scenario range from the model.

Geographic segments on FY30E base revenue: EV/EBITDA spreads vs Gordon-implied exit (7.4x)

Segment	FY30E rev	EBITDA %	FY30E EBITDA	EV/EBITDA	Segment EV (\$M)
Americas	8,070	16.5%	1,551	6.4x–7.1x	9,924–11,010
China Mainland	1,805	19.5%	410	7.9x–9.4x	3,238–3,852
Rest of World	1,543	18.0%	324	7.1x–8.1x	2,297–2,621
Total segment EV	11,418		2,284	6.8x–7.7x	15,459–17,483
Corporate / HQ (no separate carve-out)				n/a	\$0
+ Cash / – lease debt (EV bridge)				n/a	+1,807 / –1,798
Implied equity value / share				n/a	\$139–\$157

Methodology

- Single-brand retailer: geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity: not the 5–8x comps football-field band)
- Americas: Gordon – 1.0x to – 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: –0.25x to +0.75x
- Consolidated base-case DCF \$134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: \$139–\$157

Base-case DCF: \$134

Overlap is expected: SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Base-case unlevered DCF (Scenarios col G): Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

Assumption	Value
FY2026 revenue growth	-6.1%
FY2027–30 revenue growth (avg)	+2.3%
Clean EBIT margin (FY26 run-rate)	13.2%
Terminal EBIT margin (FY2030E)	15.5%
FY26 tariff refunds (one-time)	\$134.5M
Cash tax rate	30%
Capex % of revenue	5.5%
WACC	9.0%
Terminal growth (g)	2.25%
Gordon-implied exit EV/EBITDA (identity)	7.4x

TERMINAL VALUE | GORDON GROWTH (SELECTED)

Method	Formula / input	FY30 TV (\$M)
Gordon growth (selected)	$FCF_5 \times (1+g) / (WACC-g)$; $g=2.25\%$	16,804
Exit multiple (identity check)	$FY30\ EBITDA \times 7.4x = \text{Gordon TV} \div \text{EBITDA (same number)}$	16,804

SENSITIVITY | IMPLIED SHARE PRICE (WACC vs TERMINAL g)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	\$115	\$121	\$124	\$127	\$135
10.0%	\$108	\$113	\$116	\$119	\$125
10.5%	\$102	\$106	\$109	\$111	\$117
11.0%	\$97	\$100	\$103	\$105	\$110
11.5%	\$92	\$95	\$97	\$99	\$103

VALUATION OUTPUT (US\$ M)

PV of explicit FCF (FY26–FY30) **3,944**
PV of terminal value **10,933**
Enterprise value 14,876
Plus: cash **1,807**
Less: lease debt (ASC 842) **(1,798)**
Equity value 14,885
÷ Diluted shares (M) **111.4**

Implied value: \$134 / share

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA \$2,284M (not a peer pick)
Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

Base-case cell

WACC 9.0% × g 2.25% → \$134. Grid brackets ±100bps WACC and 1.5–3.0% g.

COMPARABLE COMPANIES | TRADING MULTIPLES

Company	EV/Rev	EV/EBITDA	EV/EBIT	P/E
adidas	1.51x	9.2x	18.6x	19.1x
Nike	1.27x	12.7x	15.9x	18.3x
Deckers	2.47x	7.9x	9.8x	12.1x
Crocs	1.74x	7.8x	7.8x	10.3x
Levi Strauss	1.52x	9.6x	18.1x	15.0x
Kontoor	2.01x	12.8x	15.4x	18.0x
Core median (ex-LULU)	1.63x	9.4x	15.7x	16.5x
LULU @ \$100 (current)	1.07x	4.7x	5.0x	10.4x

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base → EV, then + cash – ASC 842 lease debt ÷ shares.

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E.

DCF terminal valuation discount

Base-case DCF uses Gordon growth $g = 2.25\%$, implying 7.4x FY30 EV/EBITDA exit multiple: well below the 9.4x peer median (right table uses TTM EBITDA).

Conservative target price re-rating

Our \$134 base-case DCF and \$140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating: not Nike-level multiples.

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

Metric	Peer med.	LULU base	Implied px
EV / Revenue	1.63x	\$10,425M	\$119–\$231 (med \$153)
EV / EBITDA	9.4x	\$2,707M	\$190–\$311 (med \$229)
EV / EBIT	15.7x	\$2,211M	\$155–\$369 (med \$311)
P / E	16.5x	\$9.61	\$99–\$183 (med \$158)

Implied EV = peer median × LULU base (cols 2–3); P/E = median × EPS (no EV). EV + cash – lease debt ÷ shares = equity/sh.

Private-market context for athleisure M&A: not used to imply a control premium on LULU

Target	Year	Type	EV (\$M)	EV/Rev	EV/EBITDA	Status
Sweaty Betty	2021	Closed acquisition	410	1.6x	16.0x	Closed Aug-2021; ~16x FY21E EBITDA
Gymshark	2020	Minority growth round	1,300	5.0x	n/a	Closed Aug-2020; \$1.3bn EV (minority)
Vuori	2021	Growth investment	4,000	n/a	n/a	Closed Oct-2021; \$4bn post-money
Alo Yoga (Color Image)	2023	Unclosed sale process	10,000	5.0x	n/a	Unclosed; no deal per Reuters Jun-2026
LULU (public @ \$100)	n/a	Public equity	11,129	1.07x	4.7x	Trading comps only (not a premium benchmark)

Private precedent framework

Non-Alo private transactions establish a contextual floor of what strategics and PE pay for premium athleisure. They do not imply a control premium on LULU's public stock.

Closed M&A benchmark

Wolverine paid \$410M (~16x EBITDA, ~1.6x sales) for Sweaty Betty (2021), a concrete operating-company precedent for women's DTC activewear.

Growth capital rounds

Gymshark (\$1.3B implied EV, 2020 minority stake) and Vuori (\$4B post-money, 2021) show institutional demand and realistic baselines for premium DTC brands.

Excluded unclosed process

Alo's ~\$10B ask (~5.0x EV/Sales) is LULU's closest yoga peer, but unclosed private asks cannot dictate actual public equity valuation.

Valuation stack

DCF base: \$134 | Target: \$140

Comps median EV/EBITDA 9.4x → ~\$229/sh

Reasonably assumed ceiling from peer EV/EBITDA re-rating. Not our price target.